Thirdly, the cheque is sent to an officer, who compares the signature on the cheque with the specimen signature of the account holder and passes it for payment.

Lastly, the cheque is sent to the cashier who makes the payment against the token and records it in the cash register.

Thus, withdrawal of cash from a bank account is undertaken by four different persons such that work of one person is checked by other person in order to avoid the occurrence of errors and frauds. The system of internal check is exercised in such a way that no individual person does the entire work and the process is as follows.



and independently checked by the other person from the beginning to the end. It denotes such an arrangement of duties among the staff that the work performed by one individual is independently checked by another in the routine course, such that errors and frauds are prevented or discovered. Under the system of internal check, care is taken to ensure that no one person handles a transaction completely from beginning to end and the work of every person is in the ordinary course checked by another person.

Internal Check System on Account of Cash Sales

Firstly, Sales Department makes an entry in the Sales Register for name of the customer, date of sale, quantity and amount of sale and issues a Sales Invoice.

Secondly, The store keeper in Stores Department makes an entry for material issued in the stores ledger.

Thirdly, at the factory gate the gate keeper makes an entry when the goods are sent out or delivered.

Fourthly, in Accounts Department the person records the sale transaction based on sales invoice.

Finally, the cashier on receipt of cash makes an entry in Cash Book and issues receipt acknowledging cash received.

Thus, the transaction is passed through five different persons from different departments, and hence the work of one person is automatically checked by the other person in order to avoid errors and frauds.

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